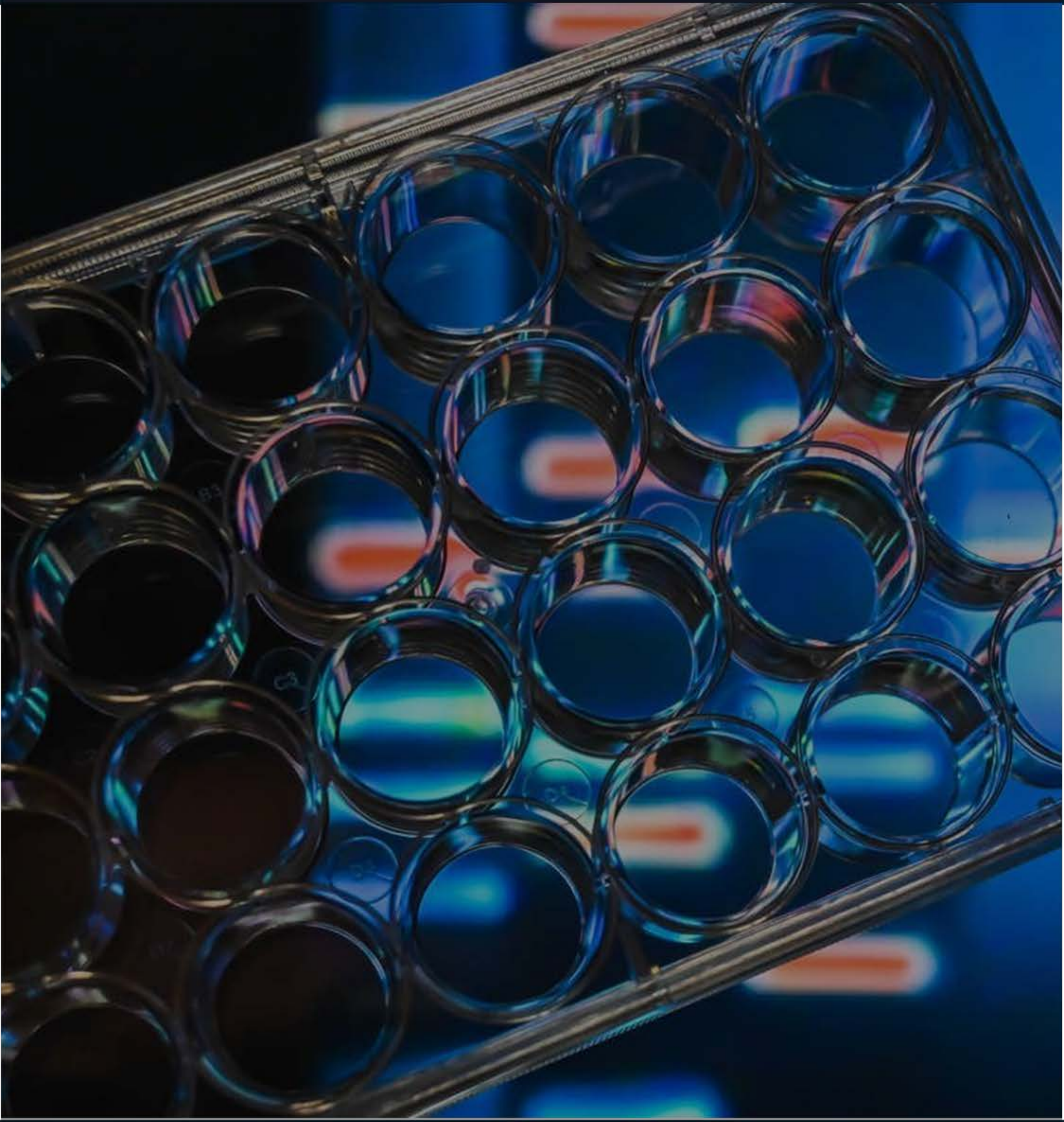

PHARMACEUTICALS · STRATEGIC ANALYSIS

April | 2026

The Compliance Countdown

Two designation tracks. Three regulatory clocks. One planning window

Market Access X

The Compliance Countdown

Two Designation Tracks, Three Regulatory Clocks, and What Western Pharma Must Do Before They Expire

The BIOSECURE Act became law on December 18, 2025. It names no companies. Instead, it creates two separate regulatory tracks: one for the Department of Defense, and another for the Office of Management and Budget, that determine which Chinese biotechnology firms become prohibited counterparties for federal contracts and grants, and when that prohibition takes effect. WuXi AppTec, the world's largest CRDMO, is not yet designated under either track. That gap is not a reprieve. It is a planning window, and as of April 2, 2026, three clocks are running.

Executive Summary

The BIOSECURE Act creates two regulatory clocks running simultaneously, with one governing designated firms, and the other governing their downstream customers. WuXi AppTec, not yet formally designated but clearly in the crosshairs, is the case study that illuminates both designation clocks. Which clock a firm is on determines its planning window.

- **The BIOSECURE Act is law**. Enacted December 18, 2025 as Section 851 of the FY2026 NDAA (P.L. 119-60), it prohibits federal contracts and grants with "biotechnology companies of concern" (BCCs) and — critically — with any entity that uses BCC services in performing federal work.
- **No companies are named in the statute.** Designations flow through two executive-branch tracks: the annual DoD Section 1260H list (faster, 60-day FAR trigger, no pre-designation notice) and an OMB criteria-based process (slower, 90-day FAR trigger, notice-and-response rights). WuXi AppTec is not currently designated under either track.
- **WuXi is not on the 1260H list** — but was briefly added and withdrawn in February 2026. This means designation must come through the OMB track or a confirmed 1260H update, preserving a repositioning window that WuXi is actively exploiting.
- **The prohibition is not yet in effect**. FAR revision is required before prohibitions bite. The OMB initial BCC list is due December 18, 2026. FAR revision follows, no earlier than mid-2028, and potentially later. Grandfathering of pre-existing contracts may extend compliance windows to approximately mid-2033.
- **A third clock started April 2, 2026.** President Trump's Section 232 executive order imposes 100% tariffs on imported patented pharmaceuticals and APIs, effective July 31 for large companies. Companies can reduce the tariff by committing to onshore production. This regime operates independently of BIOSECURE, moves faster, and creates an overlapping commercial pressure on the same supply chain restructuring decisions.
- **Downstream exposure is real and broad.** The Act covers federal contractors, subcontractors, and federal grant recipients. A knowledge standard applies to new contracts; ongoing use in performance triggers prohibition per se. Academic institutions receiving NIH grants face exposure when purchasing BCC equipment or services with federal funds.
- **WuXi's U.S. revenue paradox.** U.S. clients now represent approximately 68% of WuXi AppTec's continuing operations revenue, up from 65% in 2023, growing 34.3% in 2025. The

company is simultaneously building non-China capacity in Singapore, Delaware, Ireland, and Switzerland even as its U.S. dependency deepens rather than diminishes.

Dec 2026	~mid-2028	68%	~2033
OMB initial BCC list due	Earliest FAR revision effective	WuXi AppTec U.S. revenue share (2025)	Maximum grandfathered contract end-date

1. The BIOSECURE Act Is Law — But Its Prohibitions Are Not Yet in Effect

The BIOSECURE Act was enacted as Section 851 of the FY2026 National Defense Authorization Act (P.L. 119-60), signed by President Trump on December 18, 2025. This was not a standalone passage. The original 118th Congress bills — S.3558 and H.R.8333 — expired in January 2025. A 119th Congress Senate amendment (S. Amdt. 3841, Hagerty-Peters) to the FY2026 NDAA passed October 9, 2025, survived conference, and became law.

The enacted version differs fundamentally from the drafts that were circulating in 2024 and which attracted intense industry opposition and constitutional challenge. No companies are named in the statute. Designations flow entirely through executive-branch processes — removing the bill-of-attainder constitutional vulnerability that plagued earlier versions. Three prohibitions apply once the FAR is revised and BCCs are designated

The Three Prohibition Provisions

Section 851(a)(1) bars executive agencies from procuring biotechnology equipment or services from a designated BCC. Section 851(a)(2) bars agencies from contracting with any entity that uses BCC services in performing a federal contract — this is the downstream cascade provision that sweeps in contractors, subcontractors, and sub-tier suppliers. Section 851(b) extends both prohibitions to federal grants and loans, directly exposing universities and research hospitals that receive NIH, DoD, or HHS funding.

The definition of "biotechnology equipment or service" is exceptionally broad: any equipment, instrument, apparatus, device, software, firmware, data storage, transmission, consulting, or disease detection service used in research, development, production, analysis, or detection of information relating to biological material. This definition has not been narrowed by subsequent rulemaking and will not be until OMB issues implementing guidance.

Critical Interpretive Dispute: The Grandfathering Scope

Four of the five major law firms that have published detailed BIOSECURE Act analyses read Section 851(c)(3)(A) as excluding the five-year safe harbor for entities already on the 1260H list at enactment (December 18, 2025). Under this reading, BGI Genomics, MGI Tech, and FGI face prohibition 60 days after FAR revision with no wind-down. A minority view reads the provision more broadly. The weight of published analysis favors the narrower reading. This interpretive gap has not been resolved.

2. The Dual-Track Designation Mechanism: Why WuXi's Clock Is Running on OMB Time

The BIOSECURE Act creates two pathways to BCC designation, with different speed, process, and legal consequences. Which clock a firm is on determines its planning window. WuXi AppTec is on OMB time — and that is precisely what gives it a window to reposition.

DoD Section 1260H Track: Fast, Opaque, No Due Process

The DoD Section 1260H list of Chinese military companies, updated annually, contained 134 entities as of January 2025. Three BGI Group entities are listed: BGI Genomics, MGI Tech, and Forensic Genomics International (FGI). Under Section 851, a 1260H entity becomes a BCC if OMB separately determines it is involved in biotechnology — a procedural step that earlier drafts skipped. Once designated, the prohibition takes effect 60 days after FAR revision. No advance notice, no response rights, no public comment.

On February 13, 2026, the Pentagon published an updated 1260H list in the Federal Register that included WuXi AppTec — categorized as indirectly owned by SASAC and indirectly affiliated with the PLA — alongside Alibaba, Baidu, BYD, and 20 other companies. The list was withdrawn within approximately one hour, reportedly at the request of the Pentagon's Privacy, Civil Liberties and Transparency Directorate, with no official reason given. The February 2026 incident followed a December 2025 letter from four congressional committee chairs urging DoD to add WuXi AppTec, WuXi Biologics, and WuXi XDC. It followed a Deputy Defense Secretary letter in October 2025 identifying WuXi AppTec as meriting addition. WuXi is not on the confirmed 1260H list as of March 2026. The withdrawal was political, not analytical.

134	3	60 days	Feb 2026
Entities on confirmed 1260H list (Jan 2025)	BGI Group entities on confirmed list	1260H → BCC FAR trigger timeline	WuXi briefly added, then withdrawn

OMB Criteria-Based Track: Slower, More Procedural, with Notice Rights

For entities not already on the 1260H list, designation requires satisfying all three OMB criteria: (1) subject to the governance or control of a foreign adversary government; (2) involved in biotechnology equipment or services; and (3) posing a national security risk through ties to foreign military or intelligence services, provision of multiomic data to a foreign adversary, or collection of multiomic data without informed consent. A firm meeting these criteria receives written notice of proposed designation, the criteria and information relied upon, and a 90-day window to submit opposing arguments. OMB must then issue a final determination. Prohibition takes effect 90 days after FAR revision.

The initial BCC list is due December 18, 2026 — one year after enactment. OMB implementing guidance follows within 180 days of BCC list publication, meaning no earlier than mid-2027. FAR Council revision takes up to one year after guidance. Based on maximum statutory timelines, the OMB track produces prohibition effectiveness no earlier than mid-to-late 2028. No proposed FAR rule has been published as of April 2026.

The Precision Point: WuXi's Track Determines Its Window

WuXi AppTec is not currently on the DoD 1260H list. Designation must therefore come through the slower OMB track — which includes notice-and-response rights, a 90-day opposition window, and a longer FAR revision timeline. This procedural architecture gives WuXi AppTec time to challenge designation, complete its non-China capacity buildout, and offer clients a compliant service pathway. The February 2026 list withdrawal extended that window further.

3. WuXi's Repositioning: Geographic Hedge, Not Clean Break

WuXi AppTec's response to the BIOSECURE Act is a dual strategy: accelerate global capacity buildout to offer clients a non-China service option, while simultaneously growing U.S. revenue as fast as possible during the window before designation and FAR revision bite. The first is a hedge. The second is a calculated bet that U.S. client dependency will make designation politically costly.

The Non-China Capacity Buildout

Singapore is the anchor. WuXi AppTec broke ground on a 50-acre, seven-plant campus at Tuas Biomedical Park — a SGD 200 million (~$143 million) initial investment for small-molecule API, oligonucleotide, and peptide manufacturing, with first operations expected in 2027. WuXi Biologics is building a separate $1.4 billion CRDMO center at the same park with 120,000 liters of biologics capacity, targeted for 2026. In the United States, WuXi STA's $510 million oral solid dosage and injectables campus in Middletown, Delaware, will be operational from Q4 2026 (oral) and Q4 2027 (injectables). In Europe, WuXi Biologics's Dundalk, Ireland facility (€325 million, 48,000 liters) is fully EMA-approved as of August 2025 — the anchor non-China biologics site. The Couvet, Switzerland oral solid dosage facility doubled capacity in 2025.

In the Middle East, WuXi AppTec signed strategic MoUs with NEOM and the Saudi Ministry of Health in October 2025 to explore CRDMO facilities at Oxagon, NEOM's advanced manufacturing city. WuXi Biologics signed a separate MoU with Qatar Free Zones Authority in December 2025 for a Gulf biologics CRDMO center. Both remain at MoU stage — no committed capital, no construction timeline, no binding agreements. The strategic rationale for Middle East CRDMO capacity as a geographic hedge for Western clients has been complicated by the 2026 Hormuz crisis: the same region that offered manufacturing optionality is now experiencing active conflict, infrastructure damage, and the closure of the shipping lane those facilities would depend on for supply and export. Neither MoU has been publicly suspended, but the investment case for Gulf-based pharmaceutical manufacturing has materially weakened since they were signed.

The Divestiture Side of the Strategy

WuXi AppTec has simultaneously shed non-core Chinese assets. The company sold WuXi Clinical and WuXi MedKey to Hillhouse Capital for approximately RMB 2.8 billion (~$390 million), divested WuXi ATU (now Minaris Advanced Therapies under Altaris PE), sold WuXi Vaccines Ireland to Merck for €500 million (~$545 million), and sold its Leverkusen, Germany facility to Terumo for €150 million (~$165 million). The WuXi XDC antibody-drug conjugate unit has been partially demerged. The net effect is a smaller, more focused, CRDMO-pure entity — better positioned to argue it does not meet the OMB national security criteria, and more credible as a counterparty for clients seeking geographic optionality.

The Revenue Paradox Does Not Resolve Itself

WuXi AppTec's U.S. revenue grew 34.3% in 2025 to approximately RMB 31.25 billion, representing 68% of continuing operations. The TIDES business (oligonucleotides and peptides, predominantly U.S.-driven) grew 96% year-over-year. WuXi guides for 18–22% revenue growth in 2026. Every quarter of growing U.S. revenue deepens the transition cost for WuXi's clients and strengthens the political argument that abrupt decoupling harms patients. This dynamic cuts both ways: it is WuXi's best lobbying argument and its greatest vulnerability if designation finally comes.

4. Downstream Contractor Exposure: Who Gets Caught and Under What Conditions

The most underappreciated provision of the BIOSECURE Act is Section 851(a)(2) — the downstream contractor prohibition. It does not merely bar federal agencies from contracting with designated BCCs. It bars agencies from contracting with any entity that uses BCC services in performing a federal contract. This sweeps in every pharmaceutical company, CRO, CDMO, academic medical center, and research institution that sits between a federal contract and a WuXi service anywhere in its supply chain.

The Knowledge Standard — What It Requires

Section 851(a)(2)(B) applies an actual knowledge standard to new contracts: an agency may not contract with an entity that enters a contract the entity knows will require use of BCC services. Congress removed "knows or has reason to believe" from the final text — a significant industry win. However, Section 851(a)(2)(A) operates as a per se prohibition on ongoing use: if an entity simply uses BCC equipment or services in performing a federal contract, prohibition triggers regardless of subjective knowledge. The two prongs create asymmetric exposure: new contracts require proven actual knowledge; ongoing performance use is per se prohibited.

The practical implication is that companies cannot credibly argue ignorance of a material supply chain dependency they could have discovered. Supply chain audit obligations will be shaped by what constitutes reasonable diligence in the industry — a standard that courts will eventually define.

Named Companies with Disclosed WuXi Relationships

The following companies have publicly disclosed material WuXi AppTec or WuXi Biologics relationships through SEC filings, earnings calls, or press releases. Large pharma with confirmed relationships include Eli Lilly (WuXi producing tirzepatide ingredients), GSK (WuXi Biologics licensing agreement valued at up to $1.5 billion), Merck (SEC filing describing "significant" R&D and production operations), Pfizer (Paxlovid supply chain), and Bristol Myers Squibb (disclosed BIOSECURE contingency planning).

Mid-cap and biotech firms with disclosed sole-source or material dependencies include Iovance Biotherapeutics (commercial manufacturing of Amtagvi through WuXi subsidiary), Kyverna Therapeutics (CAR-T candidate KYV-101), Viridian Therapeutics (sole-source WuXi Biologics drug substance, management explicitly warned of need to exit), iTeos Therapeutics (announced transition from WuXi to alternative manufacturers), Cabaletta Bio, Nuvalent, Zenas BioPharma, BioAge Labs, and Whitehawk Therapeutics ($44 million upfront licensing agreement with WuXi Biologics signed December 2024). A May 2024 BIO survey found 79% of 124 U.S. companies surveyed had at least one contract with a China-based or Chinese-owned CDMO.

Federal Grant Recipients: The Academic Exposure

Section 851(b) is explicit and broad: grant recipients may not use grant funds to procure BCC equipment or services, and this obligation flows to sub-recipients. Universities and research hospitals receiving NIH, DoD basic research, HHS, and other federal grants face direct compliance obligations once BCCs are designated. The BGI Group entities currently on the 1260H list provide low-cost genomic sequencing equipment widely used in academic research — meaning the academic exposure is not theoretical and will likely be the first to trigger once FAR revision completes.

5. The FAR Revision Uncertainty — and Why a Third Clock Is Now Running

Neither the DoD 1260H track nor the OMB track produces any enforceable prohibition without FAR revision. The FAR Council has up to one year after OMB implementing guidance to revise the Federal Acquisition Regulation. No proposed FAR rule has been published as of March 2026. The earliest realistic prohibition effective date — based on maximum statutory timelines — is mid-to-late 2028.

This creates a compliance planning paradox. Companies must initiate CDMO transitions that take two to four years — meaning work must begin now — despite deep uncertainty about who will be designated, what services are covered, and whether the current administration will accelerate or delay implementation. The administration's demonstrated willingness to pull the February 2026 1260H list for diplomatic reasons is evidence that FAR timing is not purely a legal or administrative question. It is also a geopolitical one.

Additional delay risks include DOGE-related OMB staffing disruptions, competing regulatory priorities in the 119th Congress, and the fundamental tension between BIOSECURE implementation and broader US-China trade diplomacy — now further complicated by the upcoming Beijing summit and the administration's need to preserve negotiating space ahead of the Busan framework's November 2026 expiration. The statutory deadlines are real; the political will to enforce them is not guaranteed.

A third clock started on April 2, 2026. President Trump signed an executive order imposing Section 232 tariffs of 100% on imported patented pharmaceuticals and active pharmaceutical ingredients, with reductions available to companies that commit to onshore production. The tariff clock is substantially faster than either BIOSECURE track — effective July 31 for large companies, September 29 for others — and targets the same supply chain restructuring outcome through a different legal instrument. The implication for WuXi is pointed: the Delaware facility it is building would produce APIs on US soil, potentially qualifying clients for tariff relief regardless of WuXi's BIOSECURE designation status. That dynamic cuts in two directions. It gives WuXi a commercial argument for its US capacity buildout that exists entirely outside the BIOSECURE framework. It also gives the administration a reason to want that facility operational, since onshored production serves the tariff policy's stated objectives whether or not WuXi is ever designated. The two regimes are now running in parallel. The tariff regime provides more immediate commercial pressure. The BIOSECURE regime provides the more durable structural threat.

What the Five-Year Grandfathering Actually Protects

Section 851(c)(3) provides a five-year wind-down for pre-existing contracts, including previously negotiated options, from the date the FAR is revised for a particular BCC. Based on a FAR revision of approximately mid-2028, grandfathering could extend existing WuXi contracts to approximately mid-2033. However, under the majority interpretation among major law firms, entities already on the 1260H list at enactment (BGI, MGI, FGI) are excluded from the five-year safe harbor. This interpretive dispute has not been resolved by regulation or litigation. Clients with existing WuXi contracts should not assume the five-year period is confirmed until implementing guidance clarifies the position.

6. No Legal Challenges Yet — But the Designation Fight Will Be Litigated

No legal challenges to the enacted BIOSECURE Act have been filed as of March 2026. The shift from naming specific companies to an executive-branch designation process substantially resolved the bill-of-attainder constitutional vulnerability. The remaining legal risk lies not in challenging the statute but in challenging specific designations under the Administrative Procedure Act.

Precedent is instructive. Advanced Micro-Fabrication Equipment Inc. (AMEC) filed an APA challenge in D.D.C., leading DoD to rescind the Section 1260H designation (Case No. 1:24-cv-2357). Both Alibaba and Baidu issued statements rejecting their inclusion and signaling potential legal action. WuXi AppTec has consistently denied meeting the statutory criteria but has not announced legal proceedings. The notice-and-response rights built into the OMB track are explicitly designed to generate an administrative record sufficient to survive APA review — meaning litigation delay is a realistic, though not reliable, tool.

Industry lobbying produced meaningful concessions in the enacted text — actual knowledge standard, removal of named companies, Medicare and Medicaid deeming provisions, expanded waivers. BIO reversed its opposition after the Gallagher DOJ investigation request. PhRMA engaged constructively. The post-enactment advocacy focus is now the OMB implementing guidance phase, where the definition of biotechnology equipment and services, the scope of the downstream contractor obligation, and the criteria for small-company or patient-access waivers will be shaped by comment-period submissions.

Forward-Looking Implications Horizon

Horizon	Near-term (2026)	Medium-term (2027–2028)	Long-term (2029+)
WuXi AppTec	Maintains and grows U.S. revenue (68% of ops); NEOM and Qatar MoUs remain exploratory. No formal designation. Revenue guidance +18–22%.	OMB BCC list published Dec 2026. If designated, 90-day FAR trigger starts post-revision. Singapore Tuas campus Phase 1 operational 2027.	Delaware facility fully operational (2027). Non-China capacity could service compliance-sensitive clients without China-origin services if structured correctly.
Federal Contractors	No prohibition in effect. Compliance officers should audit supply chains and map WuXi exposure across all contract vehicles. Initiate transition planning.	FAR revision publishes (est. mid-2028). Contract compliance certifications required. Technology transfer timelines of 2–4 years mean work must begin now.	Grandfathered contracts expire (up to ~2033). Full prohibition applies to all new contracts. Non-compliant firms face suspension from federal procurement.
Federal Grant Recipients	Section 851(b) in effect. No grant funds may be used for BCC equipment/services once BCCs are designated. NIH, DoD, and HHS grants at risk.	Institutions relying on BGI/MGI genomic platforms (already on 1260H) face transition requirements as FAR is revised. Academic procurement policies must be updated.	Full prohibition on use of grant funds applies. Equipment purchased pre-FAR revision likely grandfathered; new purchases are not.

Alternative CDMOs	Samsung Biologics (180K additional liters online), Lonza (Roche U.S. site acquired), Indian CDMOs (Syngene Baltimore acquisition) absorbing redirected inquiries.	Capacity constraints persist — BIO estimated 8-year full transition. Premium pricing for non-China biologics manufacturing expected to remain elevated.	CDMO industry rebalances. U.S., EU, and Singapore capacity scales. Cost differential with China-based manufacturing narrows but does not close entirely.

Actionable Takeaways

Each of the following is a concrete action, not a general orientation. The underlying logic applies regardless of where in an organization these questions are being asked, or what the strategic goals of a given market participant may be.

01 Map your WuXi exposure now, across all contract vehicles

Conduct a supply chain audit covering prime contracts, subcontracts, and grant relationships. Identify every product or service where WuXi AppTec, WuXi Biologics, WuXi XDC, or affiliated entities appear in the manufacturing or analytical supply chain. This is not hypothetical — FAR revision timelines mean transitions must start before the prohibition is in effect.

02 Distinguish your clock

If your WuXi exposure is through a federal prime contract, Section 851(a)(2)(A) applies. If it is through federal grant funding, Section 851(b) applies. If it is through a purely commercial contract with no federal nexus, you are outside the BIOSECURE Act's scope, but not necessarily outside the Section 232 pharmaceutical tariff regime introduced on April 2, 2026, which applies to imported patented APIs regardless of federal contract status. The compliance obligations and timelines differ across all three categories, and the tariff clock is moving faster than either BIOSECURE track.

03 Do not rely on the five-year grandfathering without legal confirmation

The grandfathering interpretation is contested. The safe harbor is not confirmed for OMB-designated entities and, under the majority interpretation, does not apply to 1260H entities at all. Engage legal counsel on how the enacted text applies to your specific contracts before planning a 2033 wind-down.

04 Engage the OMB implementing guidance process

The OMB guidance phase (due no earlier than mid-2027) and the FAR comment period are the most consequential remaining advocacy windows. The definition of "biotechnology equipment or service," the scope of downstream contractor obligations, and the waiver criteria will be shaped by industry comment. The companies that participate in that process are better positioned than those that wait for final rules.

05 Begin technology transfer planning regardless of WuXi's designation status

CDMO transitions for complex biologics require prior-approval supplements with the FDA and can take two to four years. BIO has estimated eight years for full industry transition. The prohibition effective date and the practical transition completion date are different problems. The former may be 2028; the latter must begin now to be achievable by then.

06 For investors: watch the OMB December 2026 list, not the 1260H list

The February 2026 list withdrawal confirmed that 1260H additions for high-profile firms will be delayed for diplomatic reasons when convenient. The OMB December 2026 list is the more durable trigger — it follows a formal process with an administrative record that is harder to withdraw. If WuXi appears on that list, the compliance timeline becomes concrete and company-specific.

Indicators to Watch

The following are the specific signals that will indicate whether the trajectory is shifting — and in which direction. These are operational intelligence triggers, not background monitoring items.

01 DoD 1260H list update (annual cycle)

Whether WuXi AppTec, WuXi Biologics, or WuXi XDC appear on a finalized 2026 update. The February 2026 withdrawal delayed but did not prevent this outcome.

02 Section 232 pharmaceutical tariff implementation (July 31 / September 29, 2026)

Whether pharma companies with WuXi API exposure seek onshoring agreements that functionally accelerate BIOSECURE-compliant transitions — or conversely, whether WuXi's US facilities are treated as qualifying onshoring capacity, which would complicate the designation case. This is the nearest-term hard date on the list.

03 May 2026 Beijing summit outcome

Whether the Trump-Xi meeting produces commitments that further suppress 1260H designation activity for diplomatic reasons. A summit that delivers substantive commercial agreements increases the probability of continued BIOSECURE delay; a summit that fails or produces acrimony increases designation risk.

04 WuXi AppTec Q2/Q3 2026 revenue disclosures

Whether US revenue continues growing or shows early client attrition. A plateau in US revenue growth would signal that client migration is accelerating ahead of prohibition.

05 OMB initial BCC list (December 18, 2026)

Whether WuXi entities are designated. This is the definitive trigger for OMB-track timelines and the clearest signal of implementation intent.

06 OMB implementing guidance (~mid-2027)

Whether the definition of "biotechnology equipment or service" is drawn narrowly or broadly, and whether transition safe harbors are created for patient-access drugs or small companies. This guidance follows the BCC list publication by up to 180 days and cannot arrive before mid-2027 at the earliest.

07 Samsung Biologics and Lonza capacity announcements

Whether alternative CDMO capacity is sufficient to absorb WuXi-dependent product transitions. Capacity constraints are the primary argument for gradual implementation timelines.

08 APA litigation filings against 1260H designations

Whether companies added to a finalized 1260H update pursue litigation and whether courts grant preliminary injunctions — which would create precedent directly applicable to any WuXi designation challenge.

09 FAR proposed rule publication

The first FAR proposed rule implementing Section 851 will define the practical scope of contractor obligations, sub-tier supply chain coverage, and the mechanics of certification requirements.

The BIOSECURE Act will be implemented. The question that will define the next decade of biopharma supply chain strategy is not whether firms survive the designation of WuXi AppTec but whether they used the window. Every month of FAR revision delay is generating evidence that US-China biotechnology decoupling is a structural policy direction, not a legislative aberration. For the first time, three regulatory clocks are running simultaneously — two designation tracks and a tariff regime — all pointing at the same supply chain restructuring outcome through different legal instruments and on different timelines. WuXi's Delaware facility will produce APIs on US soil regardless of its designation status. The firms that treat the current uncertainty as a reason to wait rather than a reason to act are already behind the planning horizon that a two-to-four year CDMO transition requires. The compliance gap will not announce itself. It will simply arrive.

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